

14.7% Rise in Mahindra's PAT due to rising SUV demand

28% Year-on-year fall in Tata Motors' net profit

5.14%, thanks to improved credit penetration and locally adapted products. Rural remains a high-volume, low-margin engine requiring tailored financing models and dealer economics to sustain," says Harshvardhan Sharma, Group Head-Auto & IT at Nomura Research Institute.

Automobile manufacturers also found a strong foothold overseas, with exports increasing 19% year-on-year to 5.363 million units as against 4.5 million units in the previous fiscal, underlining the sector's expanding footprint.

"Exports were a key counter-cyclical lever, cushioning domestic volatility. For FY26, stability will depend on tariff predictability; strategies like CKD/SKD assembly in offshore markets can mitigate risks," says Sharma. CKD and SKD are short for Completely Knocked Down and Semi Knocked Down kits,

terms used to denote products shipped in parts and assembled at the destination.

After the brisk ride in FY25, the automobile industry has hit a speed bump in the first few months of FY26. In the April to June quarter of FY26, the auto sector, which contributes 10% of India's gross domestic product, reported a 7.3% decline in sales owing to weak demand, supply-chain bottlenecks and policy challenges such as export licensing on rare earth magnets used in electric vehicles and electronic appliances.

Across segments, passenger vehicle sales declined by 1.4%, though SUVs continued to attract customers. Two-wheeler sales declined 6.2% and commercial vehicle sales fell 0.6%. Three-wheeler sales remained flat.

"The first quarter has already shown signs of

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		Gross Sales (In ₹crore)			Profit After Tax (In ₹crore)			Promoter stake
PAT Rank 2025	Company	FY24	FY25	Growth (In %)	FY24	FY25	Growth (in %)	(in %*)
14	Tata Motors	434,016	439,695	1.3	32,453	23,278	-28.3	42.6
29	Maruti Suzuki India	147,129	159,574	8.5	13,488	14,500	7.5	58.3
30	Mahindra & Mahindra	144,794	165,069	14	12,270	14,073	14.7	18.5
49	Bajaj Auto	45,242	51,363	13.5	7,708	7,325	-5	55
60	Hyundai Motor India	69,829	69,193	-0.9	6,060	5,640	-6.9	82.5
69	Eicher Motors	16,694	19,021	13.9	4,001	4,734	18.3	49.1
73	Hero MotoCorp	38,420	41,700	8.5	3,742	4,376	16.9	34.7
78	Samvardhana Motherson International	98,692	113,663	15.2	3,020	4,146	37.3	48.6
86	Ashok Leyland	46,455	49,417	6.4	2,696	3,383	25.5	51.5
115	TVS Holdings	39,882	44,993	12.8	1,757	2,379	35.4	74.5

PROMOTERS' STAKE AS OF JUNE 2025 **SOURCE** ACE EQUITY